

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-02

HANGZHOU QIANWANG DRESS CO., LTD.

v.

RDD FREIGHT INTERNATIONAL INC.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview and Summary of Decision

This is a dispute between a garment manufacturer and an ocean transportation intermediary. Complainant Hangzhou Qianwang Dress Co., Ltd. (“Hangzhou Qianwang”) alleges that Respondent RDD Freight International Inc. (“RDD” or “RDD Freight”) released cargo in three separate shipments to the consignee without obtaining an original bill of lading in violation of the Shipping Act of 1984 (“Shipping Act”). RDD Freight denies the allegations.

The issues alleged here are very similar to those raised in previous proceedings and the outcome is a straightforward application of settled Commission and Second Circuit case law that a non-vessel-operating common carrier (“NVOCC”) which releases cargo without requiring presentation of an original bill of lading has “fail[ed] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” in violation of section 41102(c) of the Shipping Act. This conclusion is not altered by the unprofessional conduct of the consignee who received the cargo without making full payment for it or by the settlement of a related case filed in a court in China.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

B. Procedural Background

This proceeding began with a complaint filed on February 17, 2017. The complaint included the invoice, packing list, and bills of lading for the three shipments at issue. On March 2, 2017, the notice of filing of complaint and assignment was issued. On March 24, 2017, Respondent filed an answer denying the allegations in the complaint and including a counterclaim. On April 28, 2017, Complainant filed a response to the counterclaim by letter and a telephone conference was held.

On August 23, 2017, an amended complaint was filed, in partial response to a show cause order. On October 11, 2017, an order was issued discharging the show cause order and establishing a schedule. The schedule required the completion of all discovery by December 22, 2017. In January of 2018, the parties both filed motions to compel responses to discovery.

On February 1, 2018, an order compelling responses to discovery was issued, noting that “neither party has fulfilled its discovery obligations.” The February 1, 2018, order required additional discovery to be filed, vacated the scheduling order, and required the parties to appear at a telephone conference. Telephone conferences were held on March 15, 2018, and March 21, 2018. On March 21, 2018, an order was issued permitting Respondent to file a motion to compel.

On April 6, 2018, Respondent filed a motion to compel discovery from Complainant. On May 30, 2018, the motion to compel was granted in part and denied in part; discovery was completed; and the parties were ordered to present their cases through written briefs, with Complainant’s filings due on June 29, 2018, Respondent’s opposition due July 30, 2018; and Complainant’s reply due on August 14, 2018.

On June 20, 2018, Complainant filed a motion to add supplemental evidence. On July 28, 2018, Respondent filed a cross-motion to supplement the record. These motions, which were both unopposed, are granted below.

On June 29, 2018, Complainant filed its brief, proposed findings of fact, and an appendix.² On July 28, 2018, Respondent filed its brief, proposed findings of fact, response to Complainant’s proposed findings of fact, appendix of exhibits, and cross-motion to supplement the record. A notice regarding filing issued July 30, 2018, noted that Respondent’s brief was labeled as a “Brief in

² References to the record treat the pages as sequentially numbered and are abbreviated as follows:

CBrief – Complainant’s brief

CFF – Complainant’s proposed findings of fact

CApp – Complainant’s appendix

RBrief – Respondent’s opposition brief

RFF – Respondent’s proposed findings of fact

RRFF – Respondent’s response to Complainant’s proposed findings of fact

RApp – Respondent’s appendix

Opposition to Complainant's Motion for Summary Judgement and in Support of RDD's Cross-motion for Summary Judgement" although it appeared that no motion for summary judgement had been filed and if that was the case, that "the brief will be treated as a brief on the merits as required by the scheduling order." Notice Regarding Filing at 1. The parties did not respond to the notice. Accordingly, the briefs filed by Complainant and Respondent will be accepted as briefs on the merits.

Complainant did not file a reply brief or response to RDD Freight's proposed findings of fact. In an email exchange with the Respondent and this office, Complainant requested an extension to which Respondent objected. Complainant was advised by this office that an extension would need to be requested by a properly filed motion demonstrating good cause. No such motion has been received from the *pro se* Complainant.

C. Arguments of the Parties

Complainant alleges that:

Defendant, in releasing the goods to the consignee before it had received the original Bill of Lading and permission from Plaintiff to release, violated the Shipping Act and its implementing regulations, in particular, 46 U.S.C. 41102(C), in that it "fail[ed] to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

CBrief at 2. Complainant asserts that as a direct consequence of Respondent's violation, Complainant sustained damages of \$134,207.70 which, after a settlement received in a related case in China, is reduced by Complainant to \$72,503.70. CBrief at 2.

Respondent asserts that Complainant seeks to recover the value of the goods in question from Respondent RDD Freight but not from the consignee, SWAK Kids; that RDD Freight's employee was "defrauded and misled into releasing the goods to the said consignee – in a good faith and bona fide effort to save the \$450.00 per day demurrage;" and that Complainant settled its claims in a proceeding in China. RBrief at 1-2.

D. Motions to Supplement the Record

Complainant filed a motion to add supplemental evidence and included a declaration about the settlement agreement reached in a related proceeding in China. This document was also included in Complainant's appendix. It is essentially additional discovery, provided after the close of discovery. Respondent did not object to Complainant's motion.

Respondent filed a cross-motion to supplement the record with three additional exhibits: (1) declaration of Zhejiang Handsome, (2) RDD employee San's email and letter, and (3) the Chinese settlement agreement. Respondent states that "[w]e submit that the foregoing evidence has

been discovered after the Court's Order ending discovery, but it is crucial and probative to the factual background of this case and thus helpful to the Judge's consideration." Cross-Motion to Supplement the Record at 1. Complainant did not object to Respondent's cross-motion.

Good cause exists to include the new documents in the record as they are relevant to the damages calculation. The settlement was not reached until May of 2018 and it appears that the other documents were not identified until after the close of discovery. Accordingly, both parties' unopposed motions to add supplemental evidence are hereby **GRANTED**.

E. Evidence

Under the Administrative Procedure Act ("APA"), an Administrative Law Judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this initial decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT

1. Complainant Hangzhou Qianwang Dress Co., Ltd. manufactures apparel, including hats and gloves, which it sells to retailers in the United States. CFF at 2; RRFF at 1.
2. Respondent RDD Freight International Inc. is an NVOCC and international freight forwarder with an ocean transportation intermediary licence issued by the Federal Maritime Commission. RApp at 2 (Exhibit 1).
3. Complainant and Respondent entered into an agreement in which Respondent agreed to transport apparel from China to New York for Complainant. CFF at 2; RRFF at 1.

4. Respondent contracted with the Complainant for transportation of the goods in question and RDD Freight issued three ocean bills of lading for the shipments: MBE 16081082; MBE 16081477; and MBE 16091121. CApp at 4, 8, 12; RFF at 1.
5. The invoice and packing list for the first shipment, for 947 ctns, are dated Aug. 22, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$57,273.48. CApp at 2-3.
6. The bill of lading for the first shipment, MBE 16081082, is dated Aug. 25, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc. and the forwarding agent as RDD Freight International Inc.; and lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY. CApp at 4.
7. Both Complainant and Respondent submitted copies of the bills of lading. For the first shipment, the Complainant's copy of the bill of lading states "FREIGHT PREPAID," CApp at 4, while the Respondent's copy of the bill of lading states "FREIGHT COLLECT," RApp at 7 (Exhibit 3). In other respects, the bills of lading are identical.
8. The invoice and packing list for the second shipment, for 1095 ctns, are dated Aug. 28, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$54,137.40. CApp at 6-7.
9. The bill of lading for the second shipment, MBE 16081477, is dated Aug. 31, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc., and the forwarding agent as RDD Freight International Inc.; lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY; and states "freight collect." CApp at 8 (all caps omitted).
10. The invoice and packing list for the third shipment, for 579 ctns, are dated Fed. 13, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$22,796.82. CApp at 10-11.
11. The bill of lading for the third shipment, MBE 16091121, is dated Sep. 15, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc., and the forwarding agent as RDD Freight International Inc.; lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY; and states "freight collect." CApp at 12 (all caps omitted).
12. RDD Freight released all three cargo shipments to the consignee, SWAK Kids, without obtaining an original bill of lading or Complainant's consent to release. CApp at 14.

13. For house bill of lading number 16081082, the master bill of lading number is YMLU E232080146. CApp at 14.
14. For house bill of lading number 16081477, the master bill of lading number is KKLUNB3701194. CApp at 14.
15. For house bill of lading number 16091121, the master bill of lading number is YMLU E232081075. CApp at 14.
16. A November 21, 2016, email indicated the value of the containers as follows:

E232080146 : USD57273
KKLUNB3701194 : USD53338
E232081075 : USD22797

CApp at 16.

17. A November 22, 2016, email from the shipper Echo states “I call the buyer today he said he need 18 months to pay off it, it’s really crazy, it kill all my business.” CApp at 17.
18. An email dated November 28, 2016, from RDD Fright employee Yiwen Hu, states:

Today, we talked to the shipper, ECHO and explained to him our sincere apology for this mistake of the release of those containers. We will keep tracking with the consignee till all the payments are paid to the shipper. He also met the consignee as he said and he also said he got stuck and how to arrange the 2 containers that are ready to ship. We told him we did not mind to let him file the law suit against us and then we can put the consignee into the court as the defendant as well. . . .

In the meantime, we told him to keep shipping through us for the containers as we need his help in order for him to work with us together to get this problem resolved. We will meet the consignee tomorrow and then we will talk to the shipper again for the solution. At this moment, we want the shipper to work with us is to ship the 2 containers through you/us again, we will hold because we will tell the consignee that we make the payments to the shipper for the last 3 containers and then we have the absolute right to hold later arriving containers. This is what are thinking at this time and have not told the shipper yet. Also we see tomorrow how the shipper wants to solve this problem. Then we can know what we will do next.

CApp at 18.

19. An email dated March 23, 2017, from RDD Freight employee Sangy Nutsuk, on RDD Freight letterhead states:

Please find attached e-mails that pertain to correspondence between RDD & S.W.A.K KIDS Inc. to prove the consignee begged us to release. Above Cargo was released because Victor of S.W.A.K Indicated he had spoken with Shipper regarding payment. Victor also mentioned that he had taken care of payment with shipper and has known them for over 15 years and tricked me into thinking and believed that he was trust worthy base on previous shipment never missed payment to us, and he confirmed it will be no problem in releasing cargo. I also threatened force over the phone from him by shouted and yelled to get his cargo released from terminal so they wouldn't have to pay approximately \$450 per day in demurrage charges. I released a container on three different occasions based on above. Victor created the problem with his words, and lies that he did contacted and cleared with shipper. When I mentioned victor over the phone to clear with his shipper he shout back to me that (this is not your problem just released the cargo because I sent you money already) that's the reason why I released cargo to him. And later I found out he did not get the telex released because he failed to make the payment to shipper.

Shipper should to correct money from VICTOR not us, we are just the victim and 3rd person just released cargo with payment customer paid to us. I never have known conversation or agreement between customer and their own shipper at all.

****Shipper should deal with S.W.A.K for outstanding payment and not get RDD involved. RDD spoke with S.W.A.K and they were going to make partial payments but shipper did not want this. ****

RApp at 16 (Exhibit 6) (emphasis omitted); *see also* RApp at 14 (Exhibit 5).

20. The Complainant seeks to recover the invoice value of the goods in question – from RDD Freight but not from SWAK Kids, the designated consignee. RFF at 1.
21. While waiting for the Complainant's instructions, RDD Freight's employee released the goods to the said consignee and stated that it was a good faith and bona fide effort to save the \$450.00 per day demurrage for the said consignee. RFF at 2; RApp at 14-16 (Exhibits 5-6).
22. The consignee SWAK Kids, after paying the Complainant the sum of \$10,000, has failed to pay the balance of \$123,408.00. RFF at 2.

23. A screenshot of Microsoft word properties, or digital signature, for the document labeled “Hangzhou2018” lists the title as “Kid Apparel Club” which Respondent argues is the same as the consignee SWAK Kids, as well as listing the “Content created” as “1/7/2018” and “Last printed” as “6/28/17.” RFF at 2; RApp at 17-18 (second document labeled Exhibit 6).
24. On or about May 17, 2018, while this case was pending, a related case in China was settled and RDD Freight paid \$61,704, representing half of the claim, to Complainant. CFF at 4; RRFF at 2; RFF at 2.
25. Complainant describes the settlement agreement:

Because the agent of RDD Freight Int’l, Inc. at the port of destination released goods without B/L, which resulted the loss of us in amount of USD123408, we had started a lawsuit against Zhejiang Handsome International Logistics Co., Ltd. in Ningbo and then settled with them through the court on one condition, which is RDD gives us an one-time compensation of 50% of our loss, which means 61704 US dollars in total. Now we confirm that we have received the above compensation from RDD on May []th 2018, and will withdraw the aforementioned lawsuit against Zhejiang Handsome International Logistics Co., Ltd. in Ningbo Maritime Court within 3 days.

CApp at 22.

26. The settlement agreement, as provided by Respondent, states in relevant part:

Upon completion of performing Articles 1 through 3, all disputes over the released goods without paper under Bills of Lading KKLUN3701194, E232080146, E232081479 relating to the Carriage of Goods by Sea Contract between Party B [RDD Freight] and Party C [Hangzhou Qianwang], and the Marine Agency Contract between Party A [Zhejiang Handsome Int’l Logistics Co.] and Party C [Hangzhou Qianwang] shall be settled once and for all; and there shall be no disputes among the three Parties A, B and C [Zhejiang Handsome, RDD Freight, and Hangzhou Qianwang].

RApp at 23 (Exhibit 7).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a “person may file with the . . . Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, 28 S.R.R. 1635, 1645 (FMC 2000). Complainant alleges a violation of the Shipping Act within the Commission’s jurisdiction. Although the Respondent raised lack of personal or subject matter jurisdiction in their answer, they have not made any arguments regarding jurisdiction.

2. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act. 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.203; *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, 29 S.R.R. 718, 718-19 (ALJ 2001). “[A]s of 1946 the ordinary meaning of burden of proof was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Dir., Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. When the evidence is evenly balanced, the party with the burden of persuasion must lose. *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman S.S. Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

B. Legal Analysis

1. Section 41102(c)

a. Respondent Operated as a Non-Vessel-Operating Common Carrier for the Transportation of the Three Shipments

Section 41102(c), formerly section 10(d)(1), provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Because section 41102(c) governs the activities of

common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act.

The Shipping Act defines two types of ocean transportation intermediaries: “Ocean freight forwarders” and “non-vessel-operating common carriers.” 46 U.S.C. § 40102(19). “The term ‘ocean freight forwarder’ means a person that – (A) in the United States, *dispatches shipments from the United States* via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18) (emphasis added).

There is no claim that RDD Freight acted as a marine terminal operator or a vessel-operating common carrier and an ocean freight forwarder as defined by the Shipping Act dispatches shipments *from* the United States while the shipments at issue came *into* the United States. Therefore, as part of proving that Respondent violated section 41102(c), Hangzhou Qianwang must prove that RDD Freight operated as an NVOCC on the shipments.

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16). To be an NVOCC on a particular shipment, an entity must meet the Shipping Act’s definition of “common carrier” on the shipment.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The evidence demonstrates that RDD Freight is licensed by the Commission as an NVOCC. Hangzhou Qianwang established that RDD Freight issued three bills of lading for the shipments: MBE 16081082; MBE 16081477; and MBE 16091121. All three shipments were transported by water from Ningbo, China, to the United States. All three RDD Freight bills of lading list the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc. and the forwarding agent as RDD Freight International Inc.; and lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY. CApp at 4. The evidence supports a finding that RDD Freight, an entity that as an NVOCC licensed by the Commission holds itself out as a common carrier, assumed responsibility for the transportation by water from Ningbo to the United States for the three shipments at issue. Therefore, RDD Freight operated as a non-vessel-operating common carrier for the transportation of the three shipments.

b. Respondent Released Cargo Without a Bill of Lading

There is no disagreement that RDD Freight released the shipments without obtaining an original bill of lading from the consignee or permission from Complainant. CBrief at 2; RBrief at 2. RDD Freight explains that the shipments were released because RDD Freight's employee was "defrauded and misled" and that the employee acted "in a good faith and bona fide effort to save the \$450.00 per day demurrage for the said Consignee." RBrief at 2.

The evidence includes the following statement from an RDD Freight employee about why the containers were released:

Please find attached e-mails that pertain to correspondence between RDD & S.W.A.K KIDS Inc. to prove the consignee begged us to release. Above Cargo was released because Victor of S.W.A.K Indicated he had spoken with Shipper regarding payment. Victor also mentioned that he had taken care of payment with shipper and had known them for over 15 years and tricked me into thinking and believed that he was trust worthy base on previous shipment never missed payment to us, and he confirmed it will be no problem in releasing cargo. I also threatened force over the phone from him by shouted and yelled to get his cargo released from terminal so they wouldn't have to pay approximately \$450 per day in demurrage charges. I released a container on three different occasions based on above. Victor created the problem with his words, and lies that he did contacted and cleared with shipper. When I mentioned victor over the phone to clear with his shipper he shout back to me that (this is not your problem just released the cargo because I sent you money already) that's the reason why I released cargo to him. And later I found out he did not get the telex released because he failed to make the payment to shipper.

RApp at 16 (Exhibit 6); *see also* RApp at 14 (Exhibit 5).

The Shipping Act does not require *mens rea*, or intent to violate it. So, even assuming that RDD Freight released the cargo with a sincere goal of helping their clients, that does not determine whether or not the Shipping Act was violated. Moreover, the conduct alleged – begging, tricking, shouting, yelling, and lying – while unprofessional and inappropriate, does not rise to the level of duress that would demonstrate that Respondent was not in control of or responsible for their actions.

c. The Evidence Does Not Establish Fraud, Collusion, or Conspiracy

RDD Freight relies on two facts to support its argument that "Complainant has colluded with SWAK KIDS to extract monies from RDD" and its counterclaim that Complainant "conspired with the said consignee to make RDD pay out of its surety bonds." RBrief at 2. Complainant did not file a reply brief and as such did not directly contest the Respondent's allegations. However, as explained below, the evidence does not support Respondent's legal conclusion.

First, RDD Freight asserts that “Complainant never tried to collect the said sum of money from the Consignee SWAK KIDS, nor to even contact them to collect the same.” RBrief at 2. Assuming this uncontested allegation is true, there may be legitimate reasons that the Complainant would not pursue a claim against the consignee, for example, Complainant may have determined that collecting damages from the consignee would be unlikely.

In addition, the evidence shows that Hangzhou Qianwang did speak with the consignee. A November 22, 2016, email from the shipper Echo states “I call the buyer today he said he need 18 months to pay off it, it’s really crazy, it kill all my business.” CApp at 17. A November 28, 2016, email from RDD Freight indicates that it was RDD Freight who proposed having Hangzhou Qianwang file a lawsuit against it and then RDD Freight could seek damages from the consignee, stating:

Today, we talked to the shipper, ECHO and explained to him our sincere apology for this mistake of the release of those containers. We will keep tracking with the consignee till all the payments are paid to the shipper. He also met the consignee as he said and he also said he got stuck and how to arrange the 2 containers that are ready to ship. We told him we did not mind to let him file the law suit against us and then we can put the consignee into the court as the defendant as well.

CApp at 18. It appears that in the third sentence, “he” refers to Echo, who is the shipper. The decision not to pursue other avenues of redress does not establish that Complainant and the consignee were colluding or in a conspiracy.

Second, RDD Freight argues that “In an email letter addressed to the FMC, the digital signature contains ‘Kid Apparel Club’ which is the same as the Consignee SWAK KIDS!” RBrief at 2. RDD Freight includes a screenshot of Microsoft word properties of a document that was created on “1/7/2018” and last printed on “6/28/17.” It is not clear what document is involved and what factors impact the properties listed. For example, the last printed date occurs prior to the content created date. It is possible that rather than creating brand new documents, old documents are modified so that nothing more than the document properties remain. This screenshot of properties is not found to be reliable evidence of who actually wrote the letter at issue. As such, it is not sufficient to support a finding of fraud, collusion, or conspiracy.

d. Respondent Violated Section 41102(c) of the Shipping Act

The facts of this case are very similar to the facts presented in *Bimsha*, where the NVOCC Chief Cargo released shipper Bimsha’s cargo to the notify party without requiring the presentation of an original bill of lading three times in three months. *Bimsha Int’l v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, 32 S.R.R. 353 (ALJ 2011), *aff’d* 32 S.R.R. 1861 (FMC 2013) (“*FMC Bimsha*”), *aff’d sub nom. Chief Cargo Serv. v. Federal Maritime Commission*, 586 Fed. Appx. 730 (2nd Cir. 2014) (“*2nd Cir. Bimsha*”).

The Administrative Law Judge in *Bimsha* found that the “failure by Chief Cargo to establish the practice of requiring an original bill of lading before releasing the cargo was a failure to *establish* just and reasonable practices, and a violation. Alternatively, if Chief Cargo has established the practice or requiring an original bill of lading, then by failing to *observe and enforce* the practice would be a violation of the Act.” *FMC Bimsha*, 32 S.R.R. at 1864. The Commission affirmed the ALJ’s decision, stating that it “has indeed recognized that NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice.” *FMC Bimsha*, 32 S.R.R. at 1866. The Commission relied on a long line of Commission cases to find that failing to fulfill NVOCC obligations violates the Shipping Act regardless of the number of shipments involved. *FMC Bimsha*, 32 S.R.R. at 1866-67. The Second Circuit Court of Appeals affirmed the Commission’s decision. *2nd Cir. Bimsha*, 686 Fed. Appx. at 732.

In this case, Respondent has not submitted any evidence that it established regulations or practices regarding delivering and releasing cargo. If Respondent had such regulations or practices, they were not observed or enforced. RDD’s employee accepted the statement of the consignee about releasing the cargo without confirming with the Complainant or requiring an original bill of lading. There is no mention in the employee’s statement of any corporate regulations or practices to ensure proper delivery of cargo.

The parties are entitled to rely on settled Commission precedent in determining whether to undertake the time and expense of filing a complaint before the Commission. For three separate shipments, RDD Freight violated section 41102(c) of the Shipping Act by releasing cargo to the consignee without receiving an original bill of lading. Given the nearly identical fact patterns between *Bimsha* and this proceeding, justice requires that the outcome be equivalent. Accordingly, the evidence shows that Respondent violated section 41102(c) of the Shipping Act.

2. Counterclaim

Respondent’s answer includes a counterclaim that “Complainant has conspired with its counterparts in a scheme to defraud the Respondent out of monies bonded with the FMC.” Answer at 3. In its brief, RDD Freight asserts that “RDD has counterclaimed that the Complainant had conspired with the said consignee to make RDD pay out of its surety bonds.” RBrief at 2.

Pursuant to Commission rules, “a respondent may include in the answer a counterclaim against the complainant. . . . A counterclaim . . . must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission.” 46 C.F.R. § 502.62(b)(4). It is not clear which Shipping Act provision Respondent believes was violated and the counterclaim could be dismissed on that basis alone.

In addition, Respondent has the burden of proof to establish the counterclaim. *See Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 33 S.R.R. 821, 855 (FMC 2014). As discussed above, however, the evidence does not support RDD Freight’s allegation that its employee was defrauded nor that there is a conspiracy between Hangzhou Qianwang and SWAK Kids. The evidence cited by Respondent to support its counterclaim – that Complainant did not file a claim against SWAK Kids and that a letter from Complainant showed document properties that could be related to SWAK Kids – are not sufficient to support a fraud or Shipping Act violation. Accordingly, RDD Freight’s counterclaim is dismissed both for lacking factual support and for not establishing a violation of the Shipping Act.

3. Damages

a. Reparations

Hangzhou Qianwang claims that it is entitled to a reparation award in the sum of \$72,503.70 plus interest and attorney’s fees. CBrief at 2. The Shipping Act provides: “If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. § 41301(a).

(a) **Definition.** – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) **Basic amount.** – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.

46 U.S.C. § 41305.

As the complainant, Hangzhou Qianwang has the burden of proving entitlement to reparations. *See James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003) (“As the Federal Maritime Board explained long ago: ‘(a) damages³ must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.’”).

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable

³ Reparations under the Shipping Act and damages are synonymous. *See Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 775 (2002) (Breyer, J., dissenting).

certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Tractors and Farm Equip. Ltd. v. Cosmos Shipping Co., Inc., 26 S.R.R. at 798-99 (ALJ 1992), admin. final (FMC 1993) (footnote omitted).

The bills of lading for the three shipments are dated Aug. 25, 2016; Aug. 31, 2016; and Sept. 15, 2016. CApp at 4, 8, 12. Hangzhou Qianwang filed its complaint on February 17, 2017, within the three-year statute of limitations. Therefore, Hangzhou Qianwang may receive a reparation award for actual injury caused for any Shipping Act violation that is established.

Hangzhou Qianwang claims that because RDD Freight released the cargo to consignee SWAK Kids without requiring presentation of an original bill of lading, Hangzhou Qianwang was not paid the \$134,207.70 owed to it by SWAK Kids. The invoices show that the value of the shipments was: \$57,273.48, \$54,137.40, and \$22,796.82, which totals \$134,207.70. CApp at 2, 6, 10. However, in Hangzhou Qianwang's declaration regarding the Chinese settlement agreement, the total purchase price for the cargo is listed as \$133,408. It is not clear why this amount is approximately \$800 less than the amount shown on the invoices and claimed in their complaint. In a November 21, 2016, email, the second shipment was valued at \$53,338 instead of \$54,137.40. CApp at 16. It is possible that exchange rates or other factors have impacted the amount. However, it is Complainant's burden to establish damages. The lost cargo will be valued at \$133,408 as that is the most recent declaration in the record regarding the value of the cargo and the Complainant has not sufficiently established why there are conflicting amounts in the record.

Both parties acknowledged that a settlement agreement was filed in a court in China and they both agree that RDD Freight paid Hangzhou Qianwang \$61,704 as part of that settlement. CApp at 21-22; RApp at 19-23 (Exhibit 7). Complainant attaches a declaration from Hangzhou Qianwang Dress Co. Ltd. written in Chinese with English translations throughout. CApp at 21-22. Respondent attaches the settlement agreement in Chinese with an English translation certified by counsel for Respondent. RApp at 19-24 (Exhibit 7).

The declaration from Hangzhou Qianwang states that as of May 17, 2018, "the consignee has only paid us \$10,000 for the above three consignments, leaving a total amount of USD123408 unpaid." CApp at 21; *see also* RApp at 13. Subtracting the \$10,000 paid by the consignee from the cargo value of \$133,408 leaves a balance of \$123,408.

In the settlement agreement, the parties agree that Party B, RDD Freight, will pay Party C, Hangzhou Qianwang, fifty percent of its alleged losses and state that: “Within 3 days upon signing this agreement, Party C [Hangzhou Qianwang] shall withdraw and dismiss its complaint in Ningbo Maritime Court” and “Party A [Zhejiang Handsome Int’l Logistics Co.] shall withdraw and dismiss its complaint in Ningbo Maritime Court.” RApp at 22.

The settlement agreement also states that:

Upon completion of performing Articles 1 thorough 3, all disputes over the released goods without paper under Bills of Lading KKLUNB3701194, E232080146, E232081479 relating to the Carriage of Goods by Sea Contract between Party B [RDD Freight] and Party C [Hangzhou Qianwang], and the Maritime Agency Contract between Party A [Zhejiang Handsome] and Party C [Hangzhou Qianwang] shall be settled once and for all; and there shall be no disputes among the three Parties A, B and C [Zhejiang Handsome, RDD Freight, and Hangzhou Qianwang].

RApp at 23. The parties disagree, however, regarding whether or not the settlement agreement resolved the issues in this proceeding.

In *Anchor Shipping Co. v. Alianca Navegacao E Logistica Ltd.*, 30 S.R.R. 991, 997-98 (FMC 2006) the Commission held that the submission of a controversy to arbitration, with a final award of damages, did not justify the dismissal of a subsequent complaint arising out of the same facts, but based upon alleged violations of the Shipping Act. *Verucci Motorcycles, LLC v. Senator Int’l Ocean, LLC*, 31 S.R.R. 556, 564-65 (ALJ 2009), admin. final (FMC 2009); *see also Cargo One, Inc.*, 28 SRR at 1645. Similarly, the outcome in the related proceeding in the Chinese court does not limit the Commission’s ability to resolve the Shipping Act violations alleged.

Although the settlement agreement states that it resolves all disputes, it does not appear to explicitly mention this proceeding or Shipping Act violations. It specifically mentions withdrawing the disputes that were pending in the Ningbo Maritime Court but does not mention the dispute pending before the Federal Maritime Commission. It is therefore not clear whether the settlement was meant to resolve this proceeding. Moreover, the courts in China would have jurisdiction to interpret the settlement agreement filed in their court. Settlement agreements resolving Shipping Act complaints must be reviewed and approved by the Commission. *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978). The court in China does not have jurisdiction to approve Shipping Act settlement agreements.

There is not sufficient evidence to support RDD Freight’s assertion that the Chinese settlement agreement terminates Hangzhou Qianwang’s ability to obtain reparations for the Shipping Act violations at issue here. Therefore, the settlement agreement will not eliminate Hangzhou Qianwang’s ability to recover reparations in this proceeding. Hangzhou Qianwang is not entitled to double damages, however, so that the amount that RDD Freight has already paid for the claim in the Chinese settlement will be subtracted from the amount of the reparations claim.

Accordingly, Hangzhou Qianwang has met its burden of proving damages by a preponderance of the evidence. According to Complainant's recent declaration regarding damages, the original amount was \$133,408 minus the \$10,000 paid by the consignee and minus the \$61,704 already paid by RDD Freight leaving a balance of \$61,704. Accordingly, Hangzhou Qianwang has established that it is entitled to reparations of \$61,704 plus interest. No attorney for Complainant entered an appearance in this case so it does not appear that Hangzhou Qianwang would be entitled to attorney fees.

b. Cease and desist order

Hangzhou Qianwang also seeks a cease and desist order. The Commission may issue a cease and desist order when a respondent has been found to have violated the Shipping Act. *Exclusive Tug Franchises*, 29 S.R.R. at 719-20; *Pittston Stevedoring Corp. v. New Haven Terminal, Inc.*, 13 F.M.C. 33, 44 (FMC 1969) (Commission Report incorporating Presiding Examiner Report). "A cease and desist order is generally issued when there is a reasonable likelihood or expectation that the respondent will continue or resume illegal activities. A cease and desist order must be tailored to the needs and facts of the particular case." *Hudson Shipping (Hong Kong) Ltd. – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1381, 1386 (ALJ 2003), admin. final (FMC 2004) (citations omitted). In *Bimsha*, a cease and desist order was issued under circumstances similar to this case. *2nd Cir. Bimsha*, 586 Fed. Appx. at 733 (rejecting "Chief Cargo's challenge to the cease-and-desist order on the merits.").

It has been determined that RDD Freight violated section 41102(c) of the Shipping Act by releasing cargo to SWAK Kids without requiring presentation of an original bill of lading. This occurred on three separate shipments.

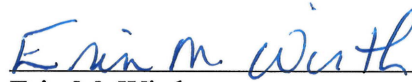
Although there is no indication that Hangzhou Qianwang continues to use RDD Freight as an NVOCC for its shipments to the United States, RDD Freight continues to operate as an NVOCC. The three shipments on which RDD Freight released the cargo without presentation of a bill of lading suggest that there is a reasonable likelihood or expectation that RDD Freight will continue or resume this illegal activity. Members of the shipping public must be protected from practices such as RDD Freight engaged in here. Therefore, it is appropriate to enter an order requiring RDD Freight to cease and desist its practice of releasing cargo without requiring presentation of an original bill of lading.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that RDD Freight violated section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) by releasing cargo without requiring presentation of an original bill of lading, it is hereby

ORDERED that RDD Freight International Inc. be liable to Hangzhou Qianwang Dress Co., Ltd. for reparations of \$61,704 plus interest. It is

FURTHER ORDERED that RDD Freight International Inc. cease and desist from releasing cargo without requiring presentation of an original bill of lading when required by the Shipping Act and Commission regulations.



Erin M. Wirth
Administrative Law Judge